

LIMURU TEA PLC.

ANNOUNCEMENT OF UNAUDITED RESULTS FOR THE SIX MONTHS ENDED 30 JUNE 2019.

The Board of Directors is pleased to announce the company's unaudited results for the Six months ended 30th June 2019.

STATEMENT OF FINANCIAL POSITION	As At 30.06.19	As At 30.06.18
CAPITAL EMPLOYED	Shs'000	Shs'000
Share capital	24,000	24,000
Retained Earnings & Reserves	166,726	163,778
Profits for the period	(18,159)	(2,463)
Proposed dividend	-	-
Total equity	172,567	185,315
Non-Current Liabilities		
Deferred income tax	11,496	12,184
Post-employment benefit obligation	14,633	21,654
	26,129	33,838
Total equity and Non-Current Liabilities	198,696	219,153
REPRESENTED BY		
Non-Current Assets		
Property, plant and equipment	99,858	112,274
Biological assets	2,820	3,638
	102,678	115,912
Current Assets		
Receivables	120,447	120,347
Current income tax-Asset	12,232	13,871
Cash at bank and in hand	5,182	1,857
Biological Asset green leaf	3,656	1,375
Inventory	-	-
	141,517	137,449
Current Liabilities		
Trade and other payables	53,281	35,264
Current income tax-Liability	(7,782)	(1,056)
	45,499	34,208
Net Current Assets	96,018	103,241
	198,696	219,153

CONDENSED STATEMENT OF CASH FLOWS		
	As at 30.06.19 Shs '000	As at 30.06.18 Shs '000
Net cash from operating activities	2,524	(4,254)
Net cash used in investing activities	(1,579)	(1,811)
Net cash used in financing activities	(2,400)	
Decrease in cash and cash equivalents	(1,455)	(6,065)
Movement in cash and cash equivalents		
At start of year	6,637	7,922
Increase	(1,455)	(6,065)
At end of June	5,182	1,857

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CONDENSED STATEMENT OF COMPREHENSIVE INCOME			
	Jan-June 2019 Shs '000		Jan-June 2018 Shs '000
Turnover	29,352		42,750
Profit/Loss before income tax	(25,941)		(3,519)
Income tax (expense)	7,782		1,056
Profit/loss attributable to the shareholders	(18,159)		(2,463)
Issued shares of Kshs. 10 each	2,400		2,400
Earnings per share (Shs)	(7.57)		(1.03)
Total Dividends per share (Shs)	-		-

CONDENSED STATEMENT OF CHANGES IN EQUITY				
	Share Capital Shs '000	Retained Earnings & Reserves Shs '000	Proposed Dividend Shs '000	Total Shs '000
Balance at 1 January 2018	24,000	163,778	-	187,778
Total recognized income for 2018	-	(2,463)	-	(2,463)
Dividends				
-Final Paid For 2017			-	-
-Proposed final for 2018				
Balance as at 30 th June 2018	24,000	161,315	-	185,315
Balance at 1 January 2019	24,000	166,726	2,400	193,126
Total recognized income for 2019	-	(18,159)	-	(18,159)
Dividends				
-Final Paid For 2018			(2,400)	(2,400)
Balance as at 30 th June 2019	24,000	148,567		172,567

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COMMENTARY

Performance

In the first half of 2019, the company produced 1,138 Tonnes of green leaf, which in turn was manufactured into 267 Tonnes of black tea. This was a 5% increase in Made Tea volumes compared to the first half of 2018.

Total revenues decreased by 31% to Kes 29 million in the period compared to Kes 43 million realised in the same period of 2018. This decrease in the first half of 2019 is due to deepening market prices experienced in 2019.

The company posted a pre-tax loss of Kes 26 million in the first half of 2019, compared to a pre-tax loss of Kes 3.5 million in 2018.

Dividend

The Directors do not recommend an interim dividend.

Prospects

The depressed market tea prices continue to pose a risk to the business performance.



Dr Richard Korir
CHAIRMAN
9th August 2019